

THE NIZAM'S MISFORTUNE

■ By Amarnath K. Menon

His fabulous legacy continues to haunt his extended family—300 odd grandchildren and great grandchildren—40 years after his death. What the last Nizam of Hyderabad Mir Osman Ali Khan, the richest man in the world in his time, left for them after naming his eldest grandson Mukarram Jah as custodian and successor-in-title is a bitter battle to share in his legendary fortune. The issue is in focus again with the decision of the government of India to initiate negotiations for the recovery of a huge sum—£1,007,940 and nine shillings—put away by the Nizam in the National Westminster Bank, London, just before Hyderabad became a part of the Union of India in September 1948. The amount has grown (interest for 60 years) to a staggering £30 million or Rs 250 crore. Even the priceless jewels of the Nizam fetched only Rs 218 crore when the 173 piece exquisite collection was bought by the government for retention as national heritage in 1995.

Now, the bigger sum lying with the London bank is an issue of national pride not just for India but for Pakistan too as it was deposited in the account of the then Pakistan high commissioner to Britain Habeeb Ibrahim Rahimtoola. How the money reached him and what were the instructions for its use is still under wraps. There are three theories afloat:

* The money was transferred by the Nizam's finance minister Moin Nawaz Jung days before he led a five-man delegation to the United Nations to plead Hyderabad's case for retention of independent status in September 1948. The purpose of sending that huge sum

A. PHILLIP/ARND BRONKHORST



ROYAL LEGACY: (from L to R) The last Nizam Mir Osman Ali Khan, his

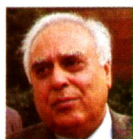
was to stash it away for the Nizam's personal use at a later date. But it was transferred by Mir Nawaz Jung, Hyderabad's agent general in London, into the account of the Pakistan high commissioner.

* The money was to buy 1,00,000 .303 rifles for his loyalists to resist attempts to take over the princely state by the Indian Army as he nursed ambitions

of remaining independent of India.

* The money was transferred by Jung to the Pakistan high commissioner without the permission of the Nizam for an undisclosed purpose and when the Nizam instructed the bank to re-transfer the amount, it did not comply as it was not from his personal account but that of the state exchequer.

Before his death in February 1967,



"We started the negotiation process to know how much the private beneficiary would get and what would be the terms of distribution between India and Pakistan."

KAPIL SIBAL, LAWYER AND MINISTER OF STATE FOR SCIENCE AND TECHNOLOGY